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U.S. ECONOMICS NEWS

- **Social Security Insolvency:** The combined Social Security trust funds (OASDI) are projected to deplete by 2034, at which point payable benefits drop to 83% of scheduled amounts. The OASI fund alone runs dry in 2032. Restoring 75-year solvency would require either a 25% benefit cut or a 34% payroll tax increase — reflecting decades of demographic deterioration as the worker-to-beneficiary ratio falls from 3.3 in 2005 to a projected 1.9 by 2100.³
- **Oil Price Whipsaw:** WTI crude surged 104% from a December 2025 low of \$55.27 to \$112.95 in April 2026 as the Iran conflict disrupted Middle East supply, then plummeted over 10% in days after a U.S.-Iran peace deal reopened the Strait of Hormuz. At \$76.60 as of June 18, oil remains volatile, with UAE's exit from OPEC+ and uncertain Iran deal durability leaving the supply outlook unsettled.³
- **Hawkish Fed Pivot:** New Fed Chair Kevin Warsh's first meeting marked a sharp communication break — issuing a terse 130-word statement, stripping forward guidance, and withholding his own dot plot projection. Markets interpreted this as meaningfully hawkish: the 2-year Treasury yield posted its largest post-meeting jump since 2008, and markets now price at least one rate hike in 2026, a significant shift from prior easing expectations.³

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DIGITAL ASSETS NEWS

- **Miner Stress:** Roughly 20% of bitcoin miners are now operating below breakeven, squeezed between elevated energy costs and compressed margins following the April 2024 halving, which cut block rewards from 6.25 to 3.125 BTC. In response, publicly traded miners liquidated over 32,000 BTC in Q1 alone — surpassing their total sales for all of 2025 — signaling mounting financial pressure across the sector.⁵
- **Stablecoin Rule:** The GENIUS Act's proposed customer identification program (CIP) rule — modeled on Bank Secrecy Act standards — is currently in its public comment period, inviting industry and consumer input before finalization. The rule would require federally permitted stablecoin issuers to verify user identities, collect beneficial ownership data, and maintain records. A final rule is anticipated in Q3 2026.⁵
- **AI Security:** AI-powered security tools — capable of scanning smart-contract bytecode, flagging reentrancy vulnerabilities, and simulating adversarial conditions at scale — are rapidly dropping in cost and latency. This shift may fundamentally redefine "reasonable due diligence" in crypto: what once required weeks of manual auditing could soon be a baseline expectation, raising the bar for acceptable deployment standards industry-wide.⁵

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G E O P O L I T I C S N E W S

- **China/US:** China sanctioned 10 US military-related companies by blocking dual-use exports, and banned 46 American firms including Lockheed Martin, Raytheon, and General Dynamics units from government procurement, retaliating against the Pentagon's addition of Alibaba, Baidu, and others to its Chinese Military Companies list.¹
- **G7:** G7 leaders agreed to establish a critical minerals alliance aimed at reducing dependence on any single non-G7 supplier — pointedly China — for rare earths and permanent magnets to below 60% by 2030. The framework begins with lithium and nickel pilot programs, expanding by five minerals annually, with the IEA given an expanded coordination role.¹
- **Iran/Hormuz:** Three Saudi supertankers carrying 6 million barrels sailed through the Strait of Hormuz after the US-Iran memorandum of understanding was signed, triggering a 2% drop in Brent crude to below \$78. A \$300 billion private investment fund is embedded in the deal, with over half already committed from US, Gulf, Asian, South American, and African companies. A 60-day final negotiation window is now underway.¹
- **Israel:** Israeli forces continued airstrikes in Lebanon despite Trump's pledge to end the war, and struck Gaza killing six including two children and an Al Jazeera cameraman. Netanyahu, facing corruption charges, domestic criticism over October 7, and voter anger over the Iran deal's terms, confirmed he intends to stand in autumn elections despite coalition polling poorly.¹
- **NATO:** Defense Secretary Hegseth announced a six-month review of US troop deployments in Europe, framing it as pressure to accelerate European self-sufficiency in continental defense. He also threatened to withhold US NATO dues from "free riders" and criticized allies who denied basing and overflight rights during the Iran war. Separately, NATO's Nuclear Planning Group agreed to modernize nuclear capabilities and strengthen nuclear planning capacity.¹
- **UK:** Prime Minister Keir Starmer resigned, citing Labour Party sentiment that he was not the right leader for the 2029 election. Former Greater Manchester Mayor Andy Burnham emerged as the frontrunner, with a likely coronation rather than contested leadership race, potentially making him Britain's seventh prime minister in ten years.¹
- **US/Iran/Shipping:** The US military has been quietly running scores of ship-to-ship oil transfers off Fujairah and Oman's port of Sohar since early May — employing Iran's own sanctions-evasion playbook — to keep Gulf energy flowing during the Strait blockade. At least 92 ships have participated, with 17 simultaneous transfer pairs observed as recently as June 11. An Apache helicopter shot down June 9 was involved in the operation.¹

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THE GOOD NEWS

- **Cellular Microscopy:** Researchers at Biohub and UC Berkeley have developed a laser phase plate using light 100 million times brighter than the Sun to dramatically sharpen cryo-electron microscopy images. The breakthrough could make previously invisible proteins visible inside intact, living cells — potentially revealing the molecular mechanics behind diseases that have long eluded researchers.²
- **Chemo-Free Cancer:** A chemotherapy-free treatment for pediatric acute promyelocytic leukemia achieved a 99.1% two-year survival rate across 114 patients. Standard-risk children receiving all-trans retinoic acid and arsenic trioxide saw 100% survival, while high-risk patients reached 97.4% — a landmark result that could spare children the severe long-term side effects of traditional chemotherapy.²
- **Nuclear Milestone:** Valar Atomics' small modular reactor in Orangeville, Utah, achieved first criticality, marking the first DOE-authorized reactor built outside a national laboratory in over 40 years. The milestone signals a genuine revival of American nuclear energy, with SMRs offering a scalable, low-carbon path forward as demand for reliable clean electricity continues to grow.²

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DIVIDEND PORTFOLIO NEWS

- **GD:** Secured a \$116.6M Navy contract to modify torpedo systems, adding to a steady stream of defense work. Defense CEOs, including GD leadership, faced White House pressure to accelerate weapons production output — a dynamic that could support near-term contract momentum across the defense sector.⁴
- **LMT:** Multiple developments this week: Lockheed and GM are exploring a defense manufacturing partnership to expand weapons supply capacity; Finland ordered precision glide bombs for its F-35 fleet; Anduril and General Atomics won Air Force drone contracts Lockheed competed for; and defense CEOs faced White House pressure to boost output — signaling both opportunity and competitive intensity.⁴
- **QCOM:** Qualcomm is reportedly in discussions to acquire AI chip startup Tenstorrent, a potential strategic move into custom AI silicon. CEO outlined plans for 40+ new AI agent-capable devices. Stock saw volatility tied to sector-wide moves around the Apple chip deal announcement and US-Iran developments. Tenstorrent acquisition talks, if confirmed, would mark a significant AI hardware pivot.⁴
- **STLD:** Steel Dynamics issued downside Q2 earnings guidance, sending shares lower. The warning contrasts with peer Nucor, which topped its outlook — suggesting company-specific pricing or volume pressures rather than a purely macro issue. The miss raises near-term concerns about margins heading into the second half.⁴

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GROWTH PORTFOLIO NEWS

- **COIN:** Coinbase launched pre-IPO perpetual futures tied to Anthropic, OpenAI, and SpaceX, expanding its derivatives offerings; CME sued CFTC over Coinbase's perpetual futures products; SEC is reportedly expected to allow crypto firms to offer tokenized stock trading, a potential major revenue opportunity for Coinbase.⁴
- **CVX:** Chevron signed a 20-year power agreement with Microsoft to supply a \$7B Texas data center project, a significant long-term offtake deal reinforcing demand for Chevron's energy output amid the AI-driven power surge.⁴
- **HOOD:** Robinhood proposed a \$2B convertible debt offering; CEO noted AI Trading surpassed 50,000 users since its May launch, driving a 42% stock rally; separately, the company announced ~10% headcount cuts to maintain operational efficiency amid growth investments.⁴
- **NVDA:** Nvidia launched Halos, a full-stack robotics safety system; claimed the No. 1 spot in data center ethernet switching revenue in Q1 per IDC; closed a \$25B bond offering; unveiled Vera Rubin server integrations with Dell and Super Micro; and partnered with Fervo Energy and PNNL on geothermal digital twins. Analyst Dan Niles flagged a potential near-term "speed bump" in the AI trade.⁴
- **SYF:** Credit card delinquencies and charge-offs dropped below their 3-month moving average in May, a positive near-term signal for Synchrony Financial, though analysts cautioned these metrics could rise again in the second half of 2025.⁴
- **TSM:** Taiwan Semiconductor struck an advanced packaging deal with Amkor for U.S.-based production, advancing domestic chip supply chain goals; Apple is expanding its U.S. supply chain with Intel partly to offset memory cost pressures, affecting TSM's long-term customer mix outlook.⁴

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S U M M A R Y

In regard to the United States Economy, the long-term solvency of Social Security remains a mounting concern, with combined trust funds projected to deplete by 2034 absent meaningful reform. Oil markets experienced dramatic volatility — surging on Iran conflict disruptions before plunging after a U.S.-Iran peace deal reopened the Strait of Hormuz. Adding to uncertainty, the new Fed Chair signaled a hawkish shift, prompting markets to price in rate hikes for 2026 and abandoning prior easing expectations entirely.

In the world of digital assets, bitcoin miners are under significant pressure, with roughly 20% operating below breakeven and publicly traded miners liquidating record volumes of BTC. On the regulatory front, proposed stablecoin legislation would require identity verification and record-keeping for federally permitted issuers, with a final rule expected in Q3 2026. Meanwhile, AI-powered security tools are rapidly reducing the cost and time required for smart-contract auditing, potentially redefining industry deployment standards.

Recently around the globe, geopolitical shifts dominated headlines across multiple regions. Colombia elected a right-wing, Trump-endorsed president pledging sweeping economic reforms. The UK's Prime Minister resigned, opening a leadership transition. G7 nations agreed to reduce reliance on Chinese critical minerals, while U.S.-China tensions escalated through mutual sanctions and procurement bans. The U.S.-Iran deal reopened the Strait of Hormuz, though a 60-day negotiation window leaves lasting resolution uncertain.

For the good news, scientific and medical breakthroughs offered meaningful reasons for optimism. Researchers developed a powerful laser technique that could make previously invisible proteins visible inside living cells, potentially unlocking insights into poorly understood diseases. A chemotherapy-free pediatric leukemia treatment achieved a remarkable 99.1% two-year survival rate. And a small modular reactor in Utah reached first criticality — the first DOE-authorized reactor built outside a national laboratory in over forty years.

In the news for the dividend portfolio, General Dynamics secured new Navy contract work while facing White House pressure alongside peers to accelerate defense production. Lockheed Martin had a busy week of competitive developments, including a potential GM manufacturing partnership and rival drone contract losses. Qualcomm advanced discussions to acquire an AI chip startup, signaling a strategic hardware pivot. Steel Dynamics issued downside Q2 earnings guidance, raising near-term margin concerns heading into the second half.

And, for the growth portfolio, Nvidia continued expanding across robotics, data center networking, and energy infrastructure, though one analyst flagged potential near-term headwinds for the AI trade. Coinbase launched pre-IPO futures and awaits potential approval for tokenized stock trading. Robinhood reported strong AI trading adoption alongside a debt offering and workforce reductions. Chevron secured a major Microsoft power agreement, while Taiwan Semiconductor advanced U.S.-based packaging partnerships supporting domestic chip supply chain goals.

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